



High risk

Investors who are willing to accept more risks for potentially higher returns might consider including emerging markets and alternative asset classes in their portfolios.

Balance

Investors who are happy to invest in more shares and property are likely to want only a small proportion of their capital in cash in fixed-interest accounts.

Cautious

Investors who are more willing to take some risk in return for a profit are likely to go for a mix of growth and defensive assets, and invest more in shares than in bonds.



NEED TO KNOW

- › **Capital risk** The possibility of losing the initial capital (money) invested. With more risky investments, capital could grow significantly but it could also be dramatically reduced.
- › **Inflation risk** The threat of rising prices eroding the buying power of money. If the returns on investments do not match or beat inflation, they will effectively be losing value each year.
- › **Interest risk** The possibility that a fixed-rate debt instrument, such as a bond, will decline in value as a result of a rise in interest rates. If new bonds are issued with a higher interest rate, the market price of existing bonds will decrease.
- › **Negative interest** Currently tens of billions are invested in Europe at negative interest rates simply to provide low risk and security.

“The only strategy that is guaranteed to fail is not taking any risks.”

Mark Zuckerberg, founder of Facebook